

June 2020

Category review: Chips

Retail Analytics



Classification: Confidential



Our 17 year history assures best practice in privacy, security and the ethical use of data

We all have a responsibility to use data for good

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantum has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

Quantum believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

Executive summary

- Number of chips transactions rises significantly before Christmas holiday.
- Primary chips sales growth are driven by Budget - older families, Mainstream - young singles/couples, Mainstream - retirees.
- Higher sales among Mainstream - young singles/couples, Mainstream - retirees due to a larger customer base.
- Mainstream - midage and young singles/couples are willing to pay more per unit of chips, which seems an impulsive purchasing behaviour.
- Mainstream - young singles/couples have a stronger preference for brands.
- Key callouts: Increase category's performance through optimising impulsive behaviour by relocating Tyrrells and smaller packs in discretionary spaces frequent by young singles and couples.

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Category

OVERVIEW

To optimise category growth, the Category Manager should utilise **off-location displays of Tyrrells chips** and **small packs in areas frequent by the target customers** - Mainstream young singles and couples to increase visibility and trigger their inherent impulse buying behavior

INSIGHTS ON AFFLUENCE AND BUYING BRHAVIOUR

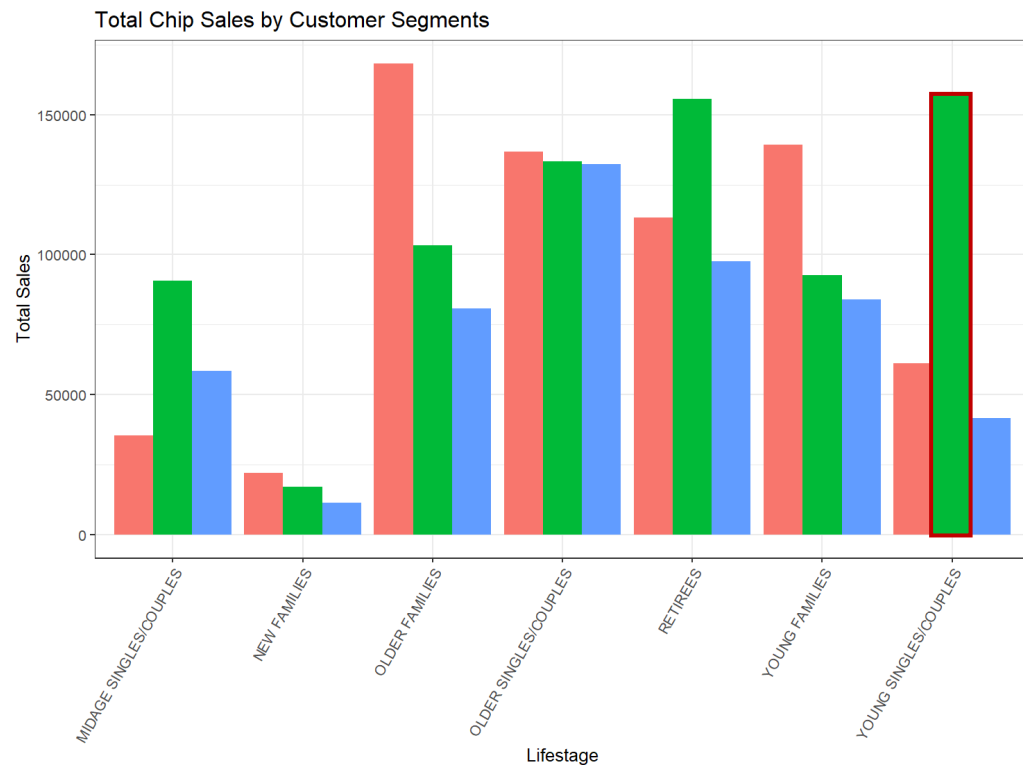
Primary sales drivers:

- Total sales are majorly supported by Budget - older families, Mainstream - young singles/couples/retirees
- While sales relies on Budget - older families for volume purchased, Mainstream - young singles/couples/retirees contribute to higher sales due to the larger customer base

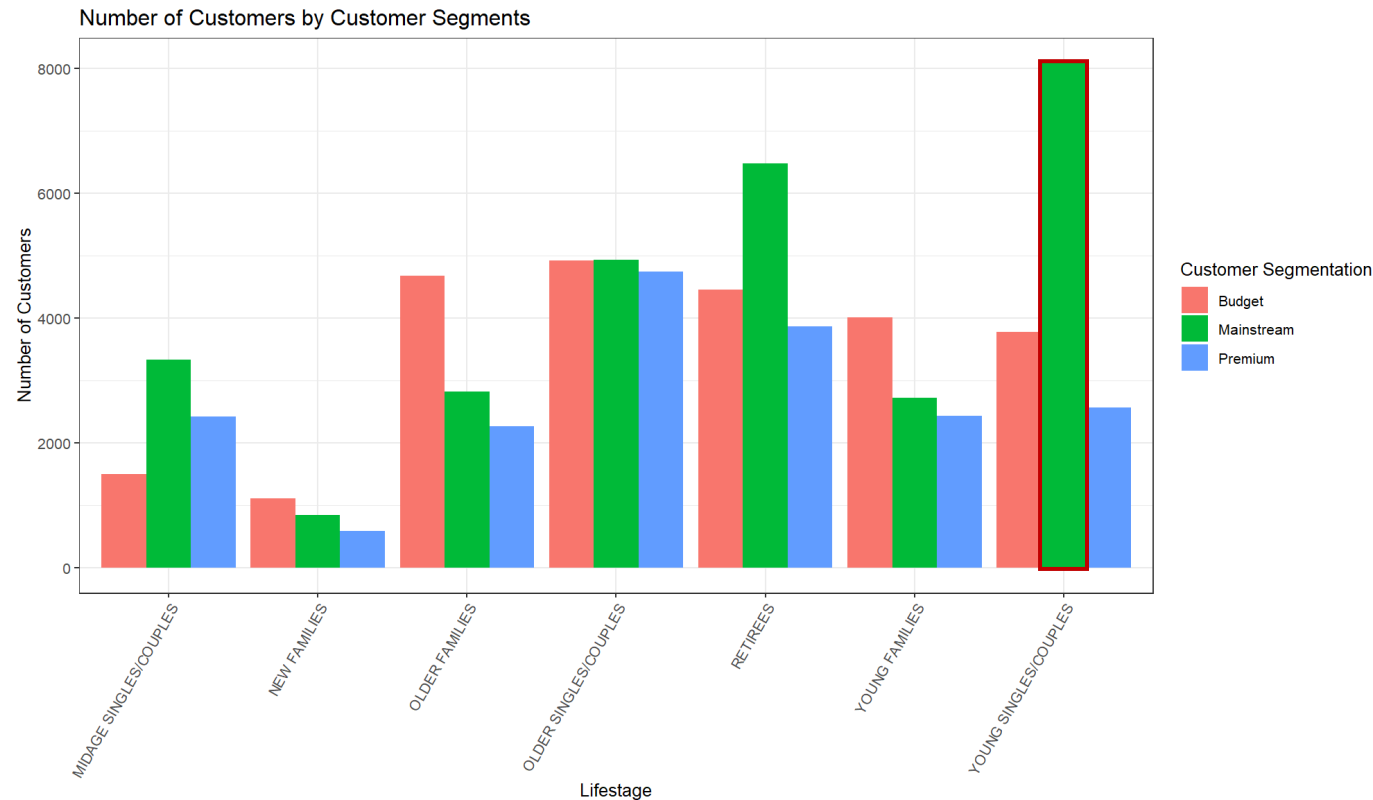
Willingness to pay:

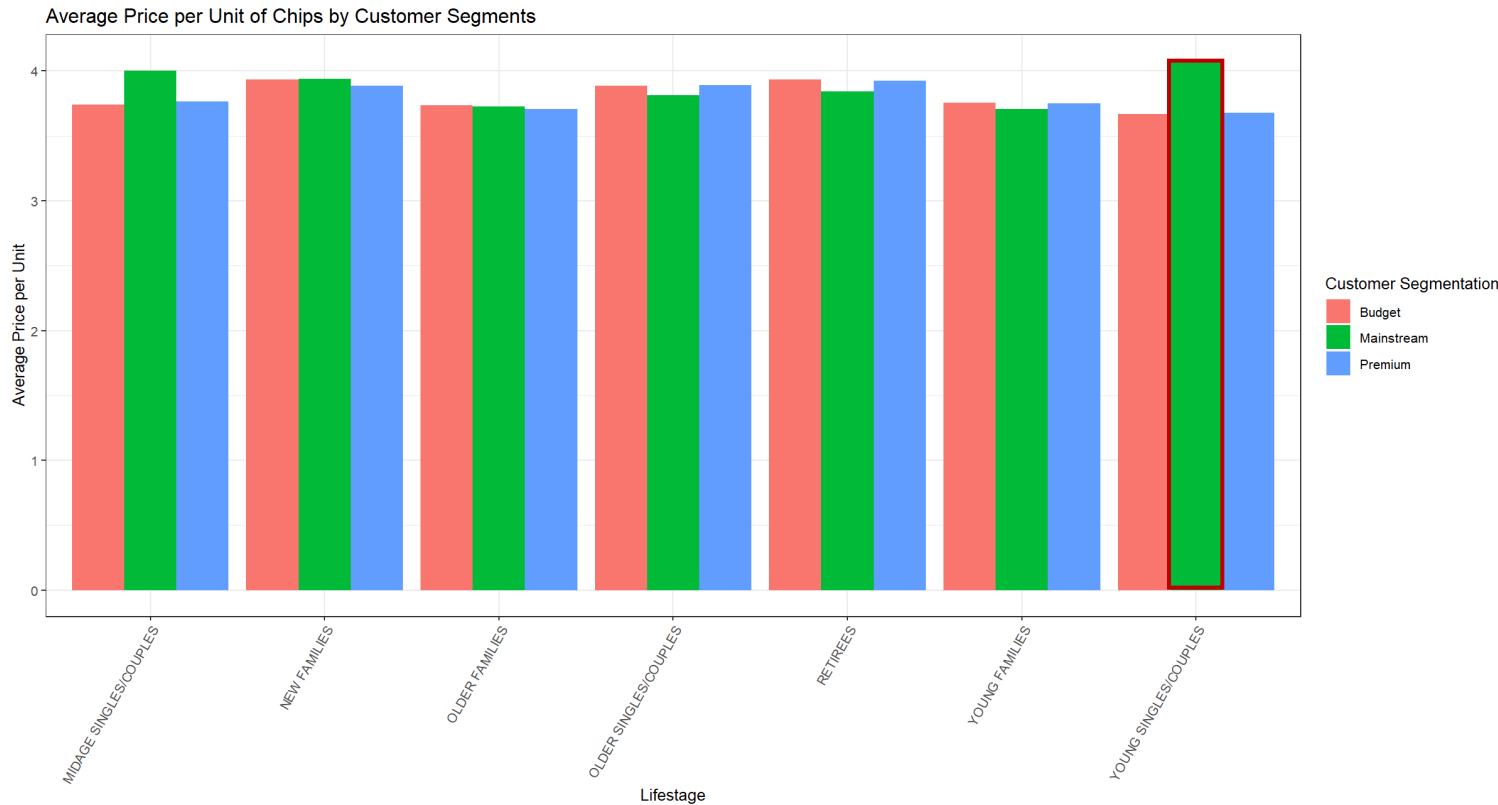
- Mainstream young and mid-age shoppers are willing to pay more per packet of chips, signaling an act of impulse, not a price-sensitive behaviour
- Meanwhile, Budget and Premium customers seem to be more focus on price with Premium affluence customers also consuming less chips due to their preference for healthier snacks
- Indication of **Mainstream young singles/couples being ideal target segment**

Brand-led behaviour: Mainstream young singles/couples is 23% more likely to purchase Tyrrells compared to other segments, showing strong brand-led preferences and an opportunity to lift sales through targeted visibility and placement



Mainstream young singles and couples represent among the largest customer segments, explaining their outsized contribution to total chip sales.





- Mainstream consumers (especially young singles and couples) are more willing to pay a higher price per packet compared to Budget or Premium counterparts and brand-focused on well-known labels like Tyrrells, Twisties, and Doritos

BRAND	Other	Target	lift
Tyrrells	0.025629853	0.031672124	1.2357513
Twisties	0.037650311	0.046049939	1.2230958
Doritos	0.100551946	0.121725338	1.2105717
Tostitos	0.037769151	0.045538273	1.2057002
Kettle	0.164809240	0.196684404	1.1934064
Pringles	0.100296660	0.118450675	1.1810032
Grain	0.025070864	0.029471961	1.1755463
Cobs	0.038860719	0.044207941	1.1375997
Infuzions	0.057003644	0.063958248	1.1220028
Thins	0.056818782	0.059660254	1.0500094
Cheezels	0.018737126	0.017703643	0.9448431
Smiths	0.125143048	0.098291036	0.7854295
Cheetos	0.012152503	0.008493655	0.6989223
French	0.005897991	0.003990995	0.6766702
RRD	0.067985352	0.044770774	0.6585356
Natural	0.025216113	0.016424478	0.6513485
NCC	0.005924400	0.003735162	0.6304709
CCs	0.019054033	0.011358985	0.5961460
GrnWves	0.006153277	0.003581662	0.5820739
Sunbites	0.012676280	0.006549325	0.5166598
Woolworths	0.049987676	0.024508801	0.4902969
Burger	0.006611032	0.003172329	0.4798539



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